HRM - Unit I

Introduction to Human Resource Management

Contents: Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
BBA III Sem · Human Resource Management · CSJM University. Units I-II notes and answers are written from standard HRM knowledge; Units III-IV follow your PDFs.

Part A - Notes

1. Meaning and definition of HRM

Human Resource Management (HRM) is the process of **acquiring, developing, motivating and maintaining** a workforce so that the organisation achieves its goals. It treats people as a valuable **resource**, not a cost.

Remember

- Acquire → Develop → Motivate → Maintain
- People are assets that can grow in value
- HRM is a function of every manager, not only the HR department

2. Nature (features) of HRM

- **People oriented** - deals with human beings, their needs and feelings.
- **Continuous** - goes on throughout the life of the organisation.
- **Pervasive** - all managers perform HR work.
- **Strategic** - linked to business objectives.
- **Action oriented** - solves problems through policies and practice.

3. Objectives of HRM

Objective	Meaning	Example
Organisational	Contribute to organisational effectiveness; right people in the right place	Workforce planning
Functional	Keep the HR department's contribution in proportion to the organisation's needs	Cost-effective HR services
Societal	Be ethically and socially responsible; follow laws; reduce negative impact on society	Equal opportunity, no child labour
Personal	Help employees achieve their personal goals and growth	Training, career paths

4. Scope of HRM

- **Procurement:** HR planning, job analysis, recruitment, selection, placement.
- **Development:** induction, training, career development, succession planning.
- **Compensation:** job evaluation, wages, incentives, benefits.
- **Integration:** bringing employee and organisational interests together; motivation, participation.
- **Maintenance:** health, safety, welfare, grievance handling.
- **Separation:** resignation, retirement, retrenchment.

5. Functions of HRM

Managerial functions	Operative functions
Planning - HR plans and policies	Procurement - recruitment and selection
Organising - structure, duties, authority	Development - training, career development
Directing - motivation, leadership, communication	Compensation - pay, incentives, benefits
Controlling - appraisal, audit, corrective action	Integration and maintenance - relations, welfare, safety

6. Evolution of HRM

Stage	Approach
Welfare work	Concern for workers' conditions and welfare
Personnel management	Administrative: hiring, payroll, records, discipline
Human resource management	People seen as resources; planning, development, motivation linked to strategy
Strategic HRM	HR aligned with business strategy, technology and globalisation

7. HRM vs Personnel Management ("paradigm shift")

Basis	Personnel Management	HRM
View of people	A cost to be controlled	A valuable asset to be developed
Approach	Reactive, routine, clerical	Proactive and strategic
Scope	Payroll, attendance, records	Planning, development, motivation, culture
Link with strategy	Weak or none	Integrated with business strategy
Role of manager	Staff specialist	Strategic partner; line managers share HR work
Time horizon	Short term	Long term

Critical view: basic activities (hiring, pay, discipline) are common to both; the real change is the strategic outlook - so HRM is a shift in thinking, not only in functions.

8. Role of the HR manager

Traditional role	Changing (modern) role
Record keeper and administrator	Strategic partner of top management
Policy maker and enforcer	Change agent - leads technology and culture change
Conciliator between management and employees	Employee champion - engagement and well-being
Welfare officer	Data-driven decision maker (HR analytics)

9. Skills of an HR manager

- Communication and interpersonal skills
- Leadership, negotiation and conflict handling
- Analytical and decision-making skills
- Technical / IT skills (HR software, analytics)
- Ethics and integrity

10. HR policies and principles

An HR policy is a guideline that tells managers how to handle people matters consistently. Good policies give **effectiveness** (clear decisions), **continuity** (same practice when managers change) and **stability** (equal and predictable treatment).

11. Importance of HRM in the emerging scenario

- Competition makes skilled, committed people the main advantage.
- Technology change needs continuous training.
- Higher productivity and lower turnover.
- Legal and ethical compliance builds a good image.
- Better industrial relations through fair policies.

12. Changing role of HR - globalisation and digital transformation

Force	Effect on HR
Globalisation	Multicultural teams, global talent, international standards
Digital technology	HRMS, e-recruitment, e-learning, biometric attendance, analytics
Remote / hybrid work	Flexible policies, virtual team management
New skills	Re-skilling for AI and new tools

Quick revision - Unit I

- HRM = acquire, develop, motivate, maintain
- 4 objectives: Organisational, Functional, Societal, Personal
- 2 types of functions: Managerial (POD-C: plan, organise, direct, control) and Operative (procure, develop, compensate, integrate, maintain)
- Evolution: welfare → personnel → HRM → strategic HRM
- HRM = proactive + strategic; Personnel Mgmt = reactive + clerical
- HR manager: administrator → strategic partner and change agent

Part B - Important questions

1. Define HRM and discuss its objectives and scope. Trace the evolution of Human Resource Management. OR Explain the objectives of HRM under the headings of organizational, functional, societal and personal objectives.
2. "HRM is not merely an extension of Personnel Management but a paradigm shift." Critically examine this statement by distinguishing between HRM and Personnel Management.
3. Explain the managerial and operative functions of HRM.
4. Discuss the role of HR Manager and how it is changing.
5. "HRM policies and principles contribute to the effectiveness, continuity and stability of the organization."
6. Explain the importance of HRM in the emerging scenario. What are the essential skills for an HR Manager?
7. Examine the changing role of HR in the era of globalization and digital transformation.

Part C - Detailed model answers (22 answers)

Q1. [2 marks] Define Human Resource Management.

Introduction to HRM

Human Resource Management (HRM) is the process of **acquiring, developing, motivating and maintaining** a competent workforce so that the organisation can achieve its goals efficiently.

- **Acquiring** - planning, recruiting and selecting the right people.
- **Developing and motivating** - training, rewarding and guiding them to perform better.
- **Maintaining** - looking after their health, safety, welfare and relations with the management.

Example: A retail chain that plans its staff needs, hires and trains store employees, pays incentives and handles their complaints is practising HRM.

Marking scheme: Definition 1 · two explained points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q2. [2 marks] State the nature (features) of HRM.

Introduction to HRM

HRM is concerned with managing the people of an organisation in a planned way.

- **People oriented** - it deals with human beings, not machines or money.
- **Continuous process** - it is not a one-time activity; it goes on as long as the organisation exists.
- **Pervasive** - every manager, not only the HR department, performs HR work.
- **Strategic** - it is linked with business objectives.

Marking scheme: Any four features, 0.5 each

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q3. [3 marks] Explain the features of HRM with examples.

Introduction to HRM

HRM treats employees as a valuable resource and manages them in a systematic and continuous way. Its main features are:

1. **People-oriented:** HRM deals with human beings whose feelings and motivation affect performance. *Example:* a manager who recognises good work boosts morale.
2. **Continuous process:** hiring, training, appraisal and welfare go on throughout the life of the firm, not only at hiring time.
3. **Pervasive function:** every department manager supervises, appraises and motivates his own team, so HRM is everyone's job.
4. **Strategic and integrated:** HR plans are made to support the business strategy, e.g. hiring digital skills when the firm moves online.

Marking scheme: Introduction 0.5 · three features with explanation 2 · example 0.5

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q4. [5 marks] Discuss the scope of HRM.

Introduction to HRM

Introduction

The scope of HRM covers all activities connected with an employee from the time of entering the organisation until leaving it. It is the **employee life cycle**.

Scope of HRM

1. **Procurement (acquisition):** HR planning, job analysis, recruitment and selection - getting the right people in the right number.
2. **Development:** induction, training, career development and succession planning - improving knowledge, skills and attitudes.
3. **Compensation:** job evaluation, wages, incentives and fringe benefits - fair reward for work.
4. **Integration and maintenance:** motivation, health and safety, welfare, grievance handling and industrial relations - keeping employees satisfied and committed.
5. **Separation:** resignation, retirement, retrenchment and exit interviews.

Conclusion

Thus HRM extends from planning the workforce to managing exit, covering every people-related activity.

Marking scheme: Introduction 1 · five areas of scope 3 · conclusion 1

Asked in: Core syllabus (Unit I) [answer from standard HRM knowledge - no notes PDF for this unit]

Q5. [10 marks] Define HRM and discuss its objectives and scope. Trace the evolution of Human Resource Management.

Introduction to HRM

1. Introduction

People are the most important resource of an organisation. **Human Resource Management** is the process of **acquiring, developing, motivating and maintaining** a workforce so that the organisation achieves its goals. It is both a function of management and a philosophy that sees employees as valuable assets rather than as a cost.

2. Objectives of HRM

Objective	Meaning	Illustration
Organisational	Contribute to the effectiveness of the organisation; right people at the right place	Workforce planning for a new plant
Functional	Keep the HR department's service in proportion to the organisation's needs	Cost-effective recruitment and payroll
Societal	Behave ethically and responsibly towards society; follow laws	Equal opportunity, no child labour
Personal	Help employees achieve their own goals, growth and satisfaction	Training, promotion paths

3. Scope of HRM

- **Procurement:** HR planning, job analysis, recruitment, selection, placement.
- **Development:** training, career development, succession planning.
- **Compensation:** job evaluation, wage and salary administration, incentives, benefits.
- **Integration and maintenance:** motivation, welfare, health and safety, grievance and industrial relations.
- **Separation:** retirement, resignation, retrenchment.

4. Evolution of HRM

Stage	Approach
Welfare work	Employers looked after workers' working conditions and welfare
Personnel management	Clerical and administrative: hiring, payroll, records, discipline
Human resource management	People seen as resources; planning, development and motivation linked to strategy
Strategic HRM	HR fully aligned with business strategy, technology and globalisation

Example: A factory that earlier only kept attendance registers now runs HR analytics, training programmes and career paths for its staff.

5. Conclusion

HRM has grown from simple welfare and record keeping into a strategic partner of top management, because the quality of people decides the success of every organisation.

Marking scheme: Introduction 1 · objectives 2.5 · scope 2.5 · evolution 3 · conclusion 1

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q6. [6 marks] Explain the objectives of HRM under the headings of organisational, functional, societal and personal objectives.

Objectives of HRM

Introduction

HRM objectives are the goals that the HR function sets to serve the organisation, its employees and society. They are classified into four groups.

1. Organisational objectives

HRM exists to help the organisation become effective. It does not exist for itself. It ensures the **right people are in the right place** and supports the achievement of organisational goals.

2. Functional objectives

These keep the contribution of the HR department at a level suitable to the organisation's needs. Resources should be used well: an HR department that is too costly or too weak for the firm's size defeats its purpose.

3. Societal objectives

The organisation must be ethically and socially responsible. This includes obeying laws, giving fair employment and reducing the negative impact of its business on society. Failure can lead to restrictions or loss of reputation.

4. Personal objectives

HRM helps employees achieve their personal goals so long as these also support the organisation. Training, career growth, fair pay and recognition increase motivation, satisfaction and retention.

Example: A company that plans its workforce (organisational), keeps HR cost reasonable (functional), follows labour laws (societal) and offers training and promotion (personal).

Marking scheme: Introduction 1 · four objectives 1 each · example 1

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q7. [3 marks] What are the societal objectives of HRM?

Objectives of HRM

Societal objectives mean that the HR department must be **ethically and socially responsible** to the society in which the firm operates.

- **Compliance with laws:** labour laws, minimum wages, safety and non-discrimination rules.
- **Fair employment:** equal opportunity for all groups without bias of gender, caste or religion.
- **Reducing negative impact:** avoiding practices that harm society, such as child labour or exploitation.

Example: A firm that hires persons with disabilities and follows the minimum wage law meets its societal objectives.

Marking scheme: Meaning 1 · three points 1.5 · example 0.5

Asked in: Important Questions - Unit 1, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q8. [2 marks] What is Personnel Management?

HRM vs Personnel Management

Personnel Management is the older, administrative approach to handling employees. It is concerned with routine activities such as **recruitment, payroll, attendance, discipline and record keeping**.

- It treats employees as a **cost** to be controlled.
- It is **reactive**: it acts only when a problem arises, and it has little link with business strategy.

Example: A personnel department that only maintains attendance registers and processes salaries.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q9. [3 marks] State any three differences between HRM and Personnel Management.

HRM vs Personnel Management

Basis	Personnel Management	HRM
View of employees	A cost to be minimised	A valuable resource / asset to be developed
Approach	Reactive and routine	Proactive and strategic
Scope	Hiring, payroll, records	Planning, development, motivation, culture

Explanation: personnel management is limited to administering employees, while HRM aims at developing people and linking them to business strategy for long-term growth.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q10. [6 marks] "HRM is not merely an extension of Personnel Management but a paradigm shift." Critically examine this statement by distinguishing between HRM and Personnel Management.

HRM vs Personnel Management

Introduction

A **paradigm shift** is a fundamental change in the way of thinking. The statement says that HRM is not just old personnel management with a new name; it changes how the organisation looks at its people.

Distinction

Basis	Personnel Management	HRM
View of people	A cost to be controlled	A valuable resource that can be developed
Approach	Reactive, routine, clerical	Proactive and strategic
Scope	Payroll, attendance, records, discipline	Planning, development, motivation, culture
Link with strategy	None or weak	Fully integrated with business strategy
Role of the manager	Staff specialist working alone	Strategic partner; line managers share HR work
Time horizon	Short term	Long term

Critical examination

- **In favour:** HRM brings a new philosophy - people as assets, commitment instead of compliance, and strategic planning.
- **Against:** basic activities such as hiring, pay and discipline are the same in both; in many firms HRM is only a change of name.

Conclusion

The statement is largely true where HRM is truly strategic; it is a shift in outlook, not merely in functions.

Marking scheme: Introduction 1 · table (any 4 rows) 3 · critical view 1 · conclusion 1

Asked in: Important Questions - Unit 1, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q11. [2 marks] Name the managerial and operative functions of HRM.

Functions of HRM

- **Managerial functions:** planning, organising, directing and controlling HR activities.
- **Operative functions:** procurement, development, compensation, integration and maintenance of employees.

Managerial functions apply the management process to HR; operative functions are the specific HR activities performed.

Marking scheme: Managerial 1 · operative 1

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q12. [3 marks] Explain the managerial functions of HRM.

Functions of HRM

The managerial functions apply the four functions of management to the human resource area.

1. **Planning:** forecasting HR needs and framing policies, programmes and procedures. *E.g.* a manpower plan.
2. **Organising:** grouping activities, defining duties and authority, and creating relationships among employees.
3. **Directing:** guiding, motivating, communicating with and leading employees so that they work willingly.
4. **Controlling:** comparing actual performance with standards and correcting deviations through appraisal and audit.

Marking scheme: Introduction 0.5 · four functions 2 · example 0.5

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q13. [5 marks] Explain the managerial and operative functions of HRM.

Functions of HRM

Introduction

The functions of HRM are broadly divided into managerial and operative functions. Managerial functions apply management principles to HR; operative functions are the specific tasks of managing people.

A. Managerial functions

- **Planning** - setting HR objectives, forecasting the workforce and framing HR policies.
- **Organising** - creating the HR structure, assigning duties and delegating authority.
- **Directing** - motivation, leadership and communication.
- **Controlling** - appraisal, audit and corrective action.

B. Operative functions

Function	Activities
Procurement	HR planning, recruitment, selection, placement
Development	Training, career development, succession planning
Compensation	Job evaluation, wages, incentives, benefits
Integration	Uniting employee and organisational interests, motivation, participation
Maintenance	Health, safety, welfare, grievance handling

Conclusion

Managerial functions guide the process while operative functions carry out the HR work; together they make HRM effective.

Marking scheme: Introduction 0.5 · managerial 2 · operative 2 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q14. [3 marks] Explain any three roles of the HR manager.

Role of HR Manager

1. **Policy maker / adviser:** advises top management on HR policies such as hiring, pay and discipline and helps frame them.
2. **Conciliator (mediator):** acts as a link between management and employees; handles grievances and settles disputes.
3. **Strategic partner and change agent:** helps plan the business, introduces new technology and manages organisational change.

Example: When two employees quarrel, the HR manager hears both and settles the matter fairly (conciliator).

Marking scheme: Three roles with explanation 2.5 · example 0.5

Asked in: Important Questions - Unit 1, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q15. [6 marks] Discuss the role of the HR manager and how it is changing.

Role of HR Manager

Introduction

The HR manager is the person responsible for planning and carrying out all people-related activities of the organisation. The role has changed from administrator to strategic partner.

Traditional roles

- **Administrator and record keeper** - maintaining files, payroll and attendance.
- **Policy maker** - framing HR rules and procedures.
- **Conciliator / mediator** - link between employees and management; handles grievances.
- **Welfare officer** - looks after health, safety and facilities.

Changing role

Old role	New role
Record keeper	Strategic partner of top management
Controls and enforces rules	Change agent who leads culture and technology change
Looks after the department	Employee champion - engagement, well-being, development
Works from files	Uses HR data and analytics for decisions

Conclusion

The HR manager has moved from paperwork to partnership: from managing people to developing a competitive workforce.

Marking scheme: Introduction 1 · traditional roles 2 · changing role 2 · conclusion 1

Asked in: Important Questions - Unit 1, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q16. [5 marks] What are the essential skills required for an HR manager?

Importance of HRM

The HR manager deals with people at all levels, so both people skills and business skills are needed.

1. **Communication and interpersonal skills** - to listen, explain, counsel and persuade employees and management.
2. **Leadership and negotiation skills** - to motivate teams and settle conflicts and bargaining.
3. **Analytical and decision-making skills** - to study HR data, forecast manpower needs and solve problems.

4. **Technical / IT skills** - to use HR software, online recruitment and HR analytics.
5. **Ethics and integrity** - to keep confidences and treat everyone fairly.

Conclusion: a successful HR manager combines human understanding with business and technical competence.

Marking scheme: Introduction 0.5 · five skills with explanation 4 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q17. [6 marks] Explain the importance of HRM in the emerging scenario. What are the essential skills for an HR manager?

Importance of HRM

Introduction

Competition, new technology and globalisation have made skilled and committed people the main source of competitive advantage. This has increased the importance of HRM.

Importance of HRM

- **Competitive advantage:** machines and money can be copied, but skilled, motivated people cannot.
- **Coping with technology change:** continuous training keeps employees up to date.
- **Higher productivity and lower turnover:** motivated employees perform better and stay longer.
- **Legal and ethical compliance:** HRM keeps the firm within labour laws and builds a good image.
- **Better industrial relations:** fair policies reduce disputes.

Essential skills of an HR manager

- Communication and interpersonal skills.
- Leadership, negotiation and conflict handling.
- Analytical and IT skills (HR analytics).
- Ethics and integrity.

Marking scheme: Introduction 1 · importance 3 · skills 2

Asked in: Important Questions - Unit 1, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q18. [2 marks] What is an HR policy?

HR Policies

An **HR policy** is a general guideline or standing plan that tells managers how to deal with people matters consistently, so that similar cases are treated alike.

- It guides decisions on matters like recruitment, promotion, leave, pay and discipline.
- It is written, communicated and applied equally throughout the organisation.

Example: A leave policy that gives every employee the same number of casual leaves.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q19. [3 marks] "HRM policies and principles contribute to the effectiveness, continuity and stability of the organisation." Explain.

HR Policies

HR policies and principles are the framework within which all HR decisions are made. They help the organisation in three ways:

1. **Effectiveness:** clear policies guide managers, save time in decision making and keep decisions in line with organisational goals.
2. **Continuity:** policies remain the same even when managers change, so work and practices continue

smoothly.

3. **Stability:** equal and predictable treatment of employees reduces conflicts, builds trust and keeps morale and attrition steady.

Example: A written promotion policy applies the same rules to every employee irrespective of who the manager is.

Marking scheme: Introduction 0.5 · three points 2 · example 0.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q20. [5 marks] Explain the importance and principles of a good HR policy.

HR Policies

Importance

- Ensures uniform and fair treatment of employees.
- Speeds up decisions because the rules are already known.
- Helps in control, because actual practice can be compared with policy.
- Builds employee confidence and a good organisational image.

Principles of a good policy

- Clear, written and easily understood.
- Consistent with the law and organisational objectives.
- Reasonable, flexible and capable of review.
- Communicated to all employees and applied equally.

Marking scheme: Importance 2.5 · principles 2.5

Asked in: Important Questions - Unit 1, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q21. [5 marks] Examine the changing role of HR in the era of globalisation and digital transformation.

Role of HR Manager

Introduction

Globalisation has created multinational and multicultural workplaces, and digital technology has changed how work is done. HR must change from an administrative department to a strategic one.

Effect of globalisation

- Managing diverse, multicultural teams and global talent.
- Common standards of HR practice across countries with respect for local laws and culture.

Effect of digital transformation

- **HR technology:** HRMS software, online recruitment, e-learning, biometric attendance.
- **Remote and hybrid work:** flexible policies and virtual team management.
- **HR analytics:** data-based decisions on hiring, attrition and performance.
- **Re-skilling:** training employees for new technologies such as AI.

Conclusion

HR is now a strategic partner and change agent that builds skills, culture and flexibility to compete globally.

Marking scheme: Introduction 1 · globalisation 1.5 · digital 2 · conclusion 0.5

Asked in: Important Questions - Unit 1, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q22. [10 marks] "The role of the HR manager has changed from administrator to strategic partner." Discuss, with reference to globalisation and digital transformation.

Role of HR Manager

1. Introduction

The HR manager is the person responsible for acquiring, developing and maintaining the human resources of the organisation. Until some decades ago the role was mostly administrative: maintaining records, running payroll and enforcing rules. Competition, globalisation and digital technology have changed this role.

2. Traditional role

- Record keeping, payroll and attendance.
- Policy enforcement and discipline.
- Welfare and conciliation between management and workers.

3. Factors that changed the role

Force	Effect on HR
Globalisation	Multicultural workforce, global hiring, international standards
Technology and digital change	HRMS, e-recruitment, e-learning, analytics, remote work
Competition	Need for skilled and innovative talent
Changing workforce	Younger employees expect flexibility, growth and purpose

4. The new roles

1. **Strategic partner** - participates in business planning.
2. **Change agent** - leads organisational and technological change.
3. **Employee champion** - engagement, well-being and career growth.
4. **Talent and data manager** - HR analytics and skills planning.
5. **Culture builder** - ethics, diversity and values.

Example: Instead of filling attendance registers, the HR head of an IT firm studies attrition data, plans reskilling in AI and designs hybrid-work policy.

5. Conclusion

The HR manager has become a partner who influences business strategy. Success needs business knowledge, technology skill and human understanding.

Marking scheme: Introduction 1 · traditional role 1.5 · factors 2 · new roles 3 · example 1 · conclusion 1.5

Asked in: Important Questions - Unit 1, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Part D - MCQs (20) - answers at the end

1. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM
- A. is exactly the same as personnel management with only a change of name
- B. has no link with the business strategy of the organisation
- C. represents a fundamentally different approach to managing people
- D. deals only with payroll and maintenance of attendance records of workers

2. Which role of the HR manager involves linking management and employees and handling grievances?
- A. Marketing coordinator
- B. Conciliator / mediator
- C. Financial controller
- D. Statutory auditor

3. Procurement, development, compensation, integration and maintenance are the
- A. managerial functions of HRM
- B. operative functions of HRM
- C. strategic planning tools
- D. legal remedies

4. Planning, organising, directing and controlling of HR activities are the
- A. marketing functions of HRM
- B. operative functions of HRM
- C. financial functions of HRM
- D. managerial functions of HRM

5. The importance of HRM in the emerging scenario is mainly due to
- A. reduction of competition and the decline in use of technology in business
- B. competition, technology and the need for skilled talent
- C. decrease in the need for trained employees in modern organisations
- D. the abolition of labour laws governing the employment relationship

6. Societal objectives of HRM mean
- A. increasing the profits of the firm by cutting the wages of the workers
- B. keeping the HR department's costs at the lowest possible level
- C. helping every employee to fulfil his own personal ambitions at work
- D. being ethically and socially responsible to society

7. A key difference between HRM and Personnel Management is that HRM
- A. is only concerned with payroll
- B. treats employees as valuable assets / resources
- C. treats employees as a cost to be minimised
- D. has no link with strategy

8. Which of the following is NOT an objective of HRM under the organisational objectives?
- A. Contributing to organisational effectiveness
- B. Providing social welfare schemes to the whole society
- C. Ensuring the right people at the right place
- D. Supporting the achievement of organisational goals

9. The four categories of HRM objectives mentioned in the Important Questions are
- A. organisational, functional, societal and personal
- B. internal, external, formal and informal
- C. short-term, medium-term, long-term and annual
- D. financial, marketing, production and legal

10. Which of the following is included in the scope of HRM?

A. Purchase of raw materials, storage and production scheduling
B. Recruitment, training, compensation and industrial relations
C. Product design, advertising, branding and sales promotion
D. Preparation of the balance sheet, audit and tax planning

11. In the era of globalisation and digital transformation, the HR manager's role is shifting towards
A. strategic partner and change agent
B. purely administrative work
C. record keeper only
D. manual file maintenance

12. Compared with Personnel Management, HRM is generally considered
A. limited to wage payment
B. reactive only
C. proactive and strategic
D. purely clerical and routine

13. HR policies and principles contribute to
A. the increase of paperwork in the personnel department of the firm
B. effectiveness, continuity and stability of the organisation
C. rigidity, delay and confusion in the decisions taken by the managers
D. reduction in the number of employees to be recruited in each year

14. Recruitment and selection fall under which operative function of HRM?
A. Maintenance
B. Integration
C. Compensation
D. Procurement

15. The evolution of HRM is generally traced from
A. scientific management and time study to office automation
B. marketing management and sales promotion to strategic marketing
C. industrial engineering and production planning to financial management
D. welfare and personnel management to strategic human resource management

16. Human Resource Management is best described as
A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals
B. the process of recording employee attendance and preparing the monthly payroll
C. the activity of selecting and installing machinery for production departments
D. the legal process of settling disputes between a company and its customers

17. Personal objectives of HRM refer to
A. maximising dividends to shareholders
B. complying with environmental laws
C. helping employees achieve their personal goals and growth
D. reducing taxes of the company

18. Which skill is essential for an HR manager?
A. Only legal drafting skill
B. Communication and interpersonal skills
C. Only accounting skill
D. Only machine operating skill

19. Training and career development fall under which operative function?
A. Procurement
B. Compensation
C. Separation

D. Development

20. 'Functional objectives' of HRM aim to

A. maximise the dividend paid to shareholders in every financial year
B. help employees fulfil their personal ambitions outside the organisation
C. ensure the firm complies with all environmental and pollution control laws
D. keep the HR department's contribution at a level suitable to the organisation's needs

MCQ answer key

1. **C**	6. **D**	11. **A**	16. **A**
2. **B**	7. **B**	12. **C**	17. **C**
3. **B**	8. **B**	13. **B**	18. **B**
4. **D**	9. **A**	14. **D**	19. **D**
5. **B**	10. **B**	15. **D**	20. **D**

MCQ answers with explanations

1. 'HRM is not merely an extension of Personnel Management but a paradigm shift.' This statement means HRM

Answer: C. represents a fundamentally different approach to managing people

Why correct: 'Paradigm shift' means a change in the whole way of thinking - HRM treats people as valuable resources tied to strategy, not as a cost to be administered.

A is wrong: If HRM were only a renamed personnel management there would be no 'shift'.

B is wrong: HRM is explicitly linked with business strategy, so this is wrong.

D is wrong: Payroll and attendance are old personnel tasks, which HRM goes far beyond.

2. Which role of the HR manager involves linking management and employees and handling grievances?

Answer: B. Conciliator / mediator

Why correct: A conciliator or mediator links management and employees and settles grievances.

A is wrong: A marketing coordinator handles marketing activities.

C is wrong: A financial controller manages funds and budgets.

D is wrong: A statutory auditor checks accounts, not employee issues.

3. Procurement, development, compensation, integration and maintenance are the

Answer: B. operative functions of HRM

Why correct: Procurement, development, compensation, integration and maintenance are the specific HR activities, called operative functions.

A is wrong: Managerial functions are planning, organising, directing, controlling.

C is wrong: These are HR activities, not planning tools.

D is wrong: These are not legal remedies; they are management activities.

4. Planning, organising, directing and controlling of HR activities are the

Answer: D. managerial functions of HRM

Why correct: Planning, organising, directing and controlling are the four classic management functions applied to HR - the managerial functions.

A is wrong: Marketing functions deal with products and customers.

B is wrong: Operative functions are the hands-on HR activities (procurement, development, compensation...).

C is wrong: Financial functions deal with funds, not HR activities.

5. The importance of HRM in the emerging scenario is mainly due to

Answer: B. competition, technology and the need for skilled talent

Why correct: Tough competition, fast technology change and shortage of skilled people make HRM more important.

A is wrong: Competition is increasing, not falling, and technology use is rising.

C is wrong: Modern firms need more, not fewer, trained employees.

D is wrong: Labour laws are not abolished; they still govern employment.

6. Societal objectives of HRM mean

Answer: D. being ethically and socially responsible to society

Why correct: Societal objectives mean the firm behaves ethically and responsibly towards society.

A is wrong: Cutting wages to raise profit is unethical, the opposite of societal responsibility.

B is wrong: Keeping HR cost lowest is a functional-cost matter, not societal.

C is wrong: Personal ambitions of employees are personal objectives.

7. A key difference between HRM and Personnel Management is that HRM

Answer: B. treats employees as valuable assets / resources

Why correct: HRM sees people as valuable assets that can be developed; personnel management saw them as a cost.

A is wrong: Payroll-only is the old personnel view.

C is wrong: That is the personnel management view.

D is wrong: HRM is linked to strategy.

8. Which of the following is NOT an objective of HRM under the organisational objectives?

Answer: B. Providing social welfare schemes to the whole society

Why correct: Social welfare for the whole of society is a societal-level goal; the organisational objectives are about making the firm itself effective.

A is wrong: This IS an organisational objective - HR exists to make the firm effective.

C is wrong: Right person in the right place is a core organisational objective.

D is wrong: Helping achieve organisational goals is the main organisational objective.

9. The four categories of HRM objectives mentioned in the Important Questions are

Answer: A. organisational, functional, societal and personal

Why correct: The Important Questions list the HRM objectives under four headings: organisational, functional, societal and personal.

B is wrong: Internal/external and formal/informal describe environments and organisations, not objectives.

C is wrong: Time horizons describe plans, not HRM objectives.

D is wrong: Finance, marketing, production and legal are business functions, not HRM objective types.

10. Which of the following is included in the scope of HRM?

Answer: B. Recruitment, training, compensation and industrial relations

Why correct: HRM's scope follows the employee life cycle: recruitment, training, compensation and industrial relations.

A is wrong: Purchase and production scheduling are operations.

C is wrong: Product design and advertising are marketing.

D is wrong: Balance sheet, audit and tax are finance and accounts.

11. In the era of globalisation and digital transformation, the HR manager's role is shifting towards

Answer: A. strategic partner and change agent

Why correct: With globalisation and digital change HR moves from paperwork to being a strategic partner and change agent.

B is wrong: Purely administrative work is the old role.

C is wrong: Record keeping alone is the old role.

D is wrong: Manual file maintenance is outdated and being automated.

12. Compared with Personnel Management, HRM is generally considered

Answer: C. proactive and strategic

Why correct: Personnel management was a routine, reactive administrative job; HRM is proactive, plans ahead and links people to business strategy.

A is wrong: Wage payment alone is only one small part of HRM.

B is wrong: Reactive only is the personnel-management style; HRM anticipates needs.

D is wrong: Clerical routine describes old personnel management, not HRM.

13. HR policies and principles contribute to

Answer: B. effectiveness, continuity and stability of the organisation

Why correct: Clear HR policies and principles guide decisions consistently, giving effectiveness, continuity and stability.

A is wrong: Good policies reduce, not increase, paperwork and confusion.

C is wrong: Policies reduce rigidity and confusion, they do not create it.

D is wrong: Policies do not decide how many people to recruit.

14. Recruitment and selection fall under which operative function of HRM?

Answer: D. Procurement

Why correct: Recruitment and selection obtain people for the firm - that is the procurement function.

A is wrong: Maintenance keeps employees healthy and satisfied after they join.

B is wrong: Integration is about uniting employee and organisational interests.

C is wrong: Compensation is about pay and benefits.

15. The evolution of HRM is generally traced from

Answer: D. welfare and personnel management to strategic human resource management

Why correct: HRM grew from early welfare work, to personnel management, to HRM and then strategic HRM.

A is wrong: Scientific management influenced management generally; office automation is unrelated.

B is wrong: Marketing management is a different field.

C is wrong: Engineering and production planning are not the roots of HRM.

16. Human Resource Management is best described as

Answer: A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals

Why correct: HRM is the complete people function: acquiring (hiring), developing (training), motivating (pay, rewards) and maintaining (welfare, relations) employees so the organisation reaches its goals.

B is wrong: Attendance and payroll are only routine clerical tasks inside HRM, not its whole meaning.

C is wrong: Machinery selection belongs to production / operations management.

D is wrong: Settling disputes with customers is a legal / customer-service matter; HRM deals with employees.

17. Personal objectives of HRM refer to

Answer: C. helping employees achieve their personal goals and growth

Why correct: Personal objectives help employees reach their own goals and grow, which keeps them motivated.

A is wrong: Dividends are a shareholder / finance matter.

B is wrong: Environmental law compliance is a societal objective.

D is wrong: Tax reduction is a finance matter.

18. Which skill is essential for an HR manager?

Answer: B. Communication and interpersonal skills

Why correct: HR work is dealing with people, so communication and interpersonal skills come first.

A is wrong: Legal drafting alone is too narrow for the HR role.

C is wrong: Accounting is useful but 'only accounting' is too narrow.

D is wrong: Operating machines is a technical skill, not an HR need.

19. Training and career development fall under which operative function?

Answer: D. Development

Why correct: Training and career development raise knowledge, skills and attitudes - the development function.

A is wrong: Procurement is getting people into the firm.

B is wrong: Compensation is pay and benefits.

C is wrong: Separation is leaving the firm (resignation, retirement).

20. 'Functional objectives' of HRM aim to

Answer: D. keep the HR department's contribution at a level suitable to the organisation's needs

Why correct: Functional objectives keep the HR department's level of service in line with what the organisation needs.

A is wrong: Dividends are a finance objective.

B is wrong: Personal ambitions outside the firm are not an HR objective.

C is wrong: Environmental compliance is a societal objective.